



“The buyout [of Ryker Base] places Hindalco among the world’s top three copper rod players outside of China”

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“A scenario of fewer integrated producers and Hindalco’s presence in both upstream and downstream... is a clear runway to capture the downstream market”

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On manufacturing globally, the buyout of rolled products maker Aleris (in April 2020 for \$2.8 billion) was strategic, but there was also a need to divest two large plants in line with anti-trust regulatory conditions. Consequently, only organic expansion is possible in the US. In the domestic market, the investment will be in extrusion, rolled products and expanding alumina upstream. “The time is right to invest in India with battery foils, electric buses or your mobile phone. Everything you touch today has aluminium or copper.”

The business is not just aluminium and what is not widely known is that copper is equally large for the company. And the way things are starting to move, the latter is at a stage where sharp growth is more than likely.

“We manufacture copper tubes for air conditioners and also a copper magnesium alloy for high-speed railway lines. Copper is quite an underrated business, and it consistently does an Ebitda of ₹2,000 crore,” points out Pai. The hitch is it is environmentally complex—it meant the plant in Dahej took four years—and one has to be top-notch on the requirements.

Speaking of complexity, the manufacturing process for copper is three to four times more complex than that for aluminium in terms of ensuring purity and quality. “Your home has electric wires where quality is key. The next step is branding copper,” says Pai. That means working on a product-branding strategy under Hindalco. An obvious opportunity is electrification, and that inevitably will lead to an increase in copper production. “There is no factory today in India for making copper tubes that go into the air conditioners,” he says. Though there is a production-linked incentive scheme for the finished product, like air conditioners, there is no such scheme for the parts that go into it.

Sanjay Moorjani, Research Analyst at brokerage Samco Securities, estimates that about three-fourths of the total copper use goes into power transmission and generation, building, wiring, telecommunications, and electrical and electronic products. “In the next 10 years, global copper consumption is expected to double. Copper products play an important role in expanding markets such as electric vehicles and renewable power, where exceptional electrical conductivity is essential.”

Hindalco has made some moves on this front, like acquiring copper wire rod manufacturer Ryker Base, a wholly-owned subsidiary of Polycab India, which has a plant in Gujarat. “The buyout places Hindalco among the world’s top three copper rod players outside of China,” says Moorjani. Another initiative is the plan to invest ₹2,000 crore to establish a copper and e-waste recycling facility.

In terms of challenges, Pai outlines green energy. “We need a steady source of power. In France, it is nuclear, and in Norway, it is hydroelectric,” he says. The downstream operation requires much less power than smelting. “In the West, most of the smelters have shut down. The Middle East has nuclear plants like China and Germany, and we must look at that option in India.” It is a challenge that needs to be addressed, given the thrust on sustainability across the world.

The next round of growth for Hindalco will have no paucity of opportunities and challenges. It promises to be a busy time for Pai. **BT**

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